Sustainable Agribusiness Financing Program (SAFP)

and

Tree Plantation Financing Program (TPFP)



Outline of Presentation

1. The Development Bank of the Philippines
2. DBP's Development Thrust
3. Sustainable Agribusiness Financing Program (SAFP)
4. Tree Plantation Financing Program (TPFP)
5. Loan Portfolio for Agriculture, Forestry and Fishing
6. Existing projects

DBP: Bangko Para sa Pagpapaunlad ng Pilipinas

- Premier developmental financial institution
- 100% government owned
- Remits at least 50% of net income to government annually

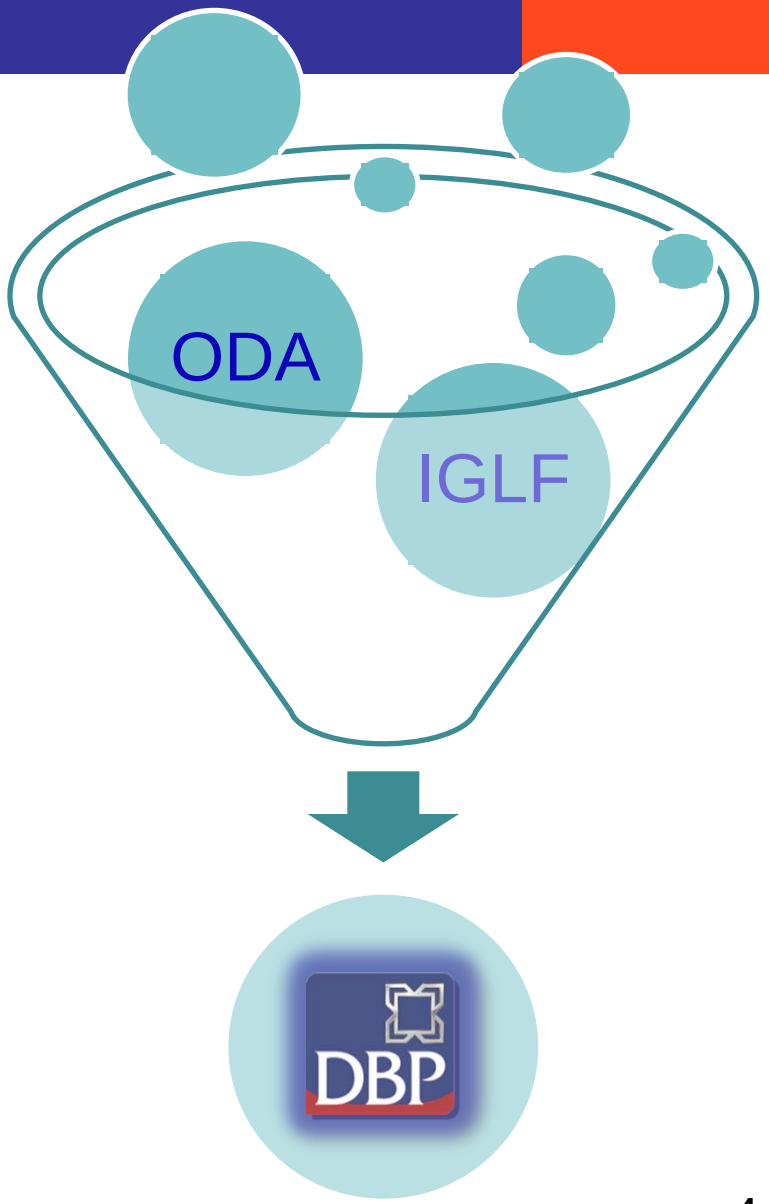
Mandate:

- To influence and accelerate sustainable economic growth
- To service the financing needs of enterprises, infrastructure efficiency, livelihood and job creation.

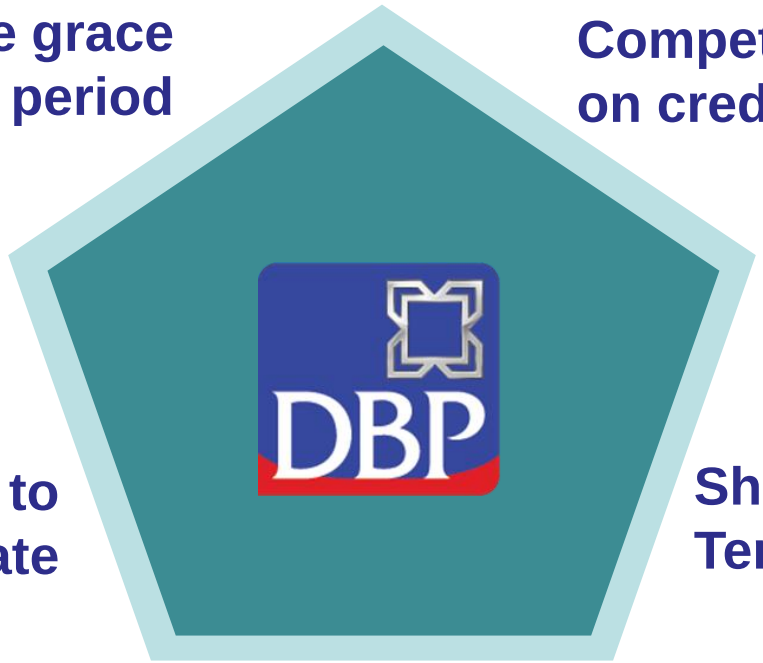


DBP is conduit for:

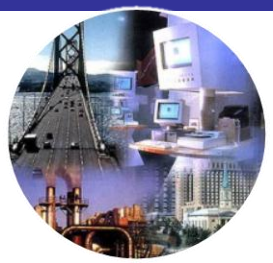
- **Industrial Guarantee and Loans Fund (IGLF)**
- **Official Development Assistance (ODA) Funds**



DBP, your partner . . .



DBP's Development Thrust



Infrastructure and Logistics

Utilities

Power



Water Supply



Transport

Road Systems



Airports



Seaports



Railway Systems



Logistics & Tourism

Shipping



Cold Chain



Supply Chain



Tourism



ICT



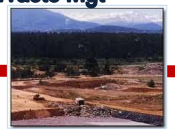


Environment Initiatives

Pollution Control



Waste Mgt



Sanitation



Clean Transport



Green Initatives





Social Services & Community Dev't

Education



Health Care



Shelter



Public Governance





Marginalized Sector





Micro, Small and Medium Enterprises

Agri-Agra

Crops





Livestock





Poultry



Fishery



Forestry



SEED

Micro Enterprises





Small Businesses





Medium Enterprises

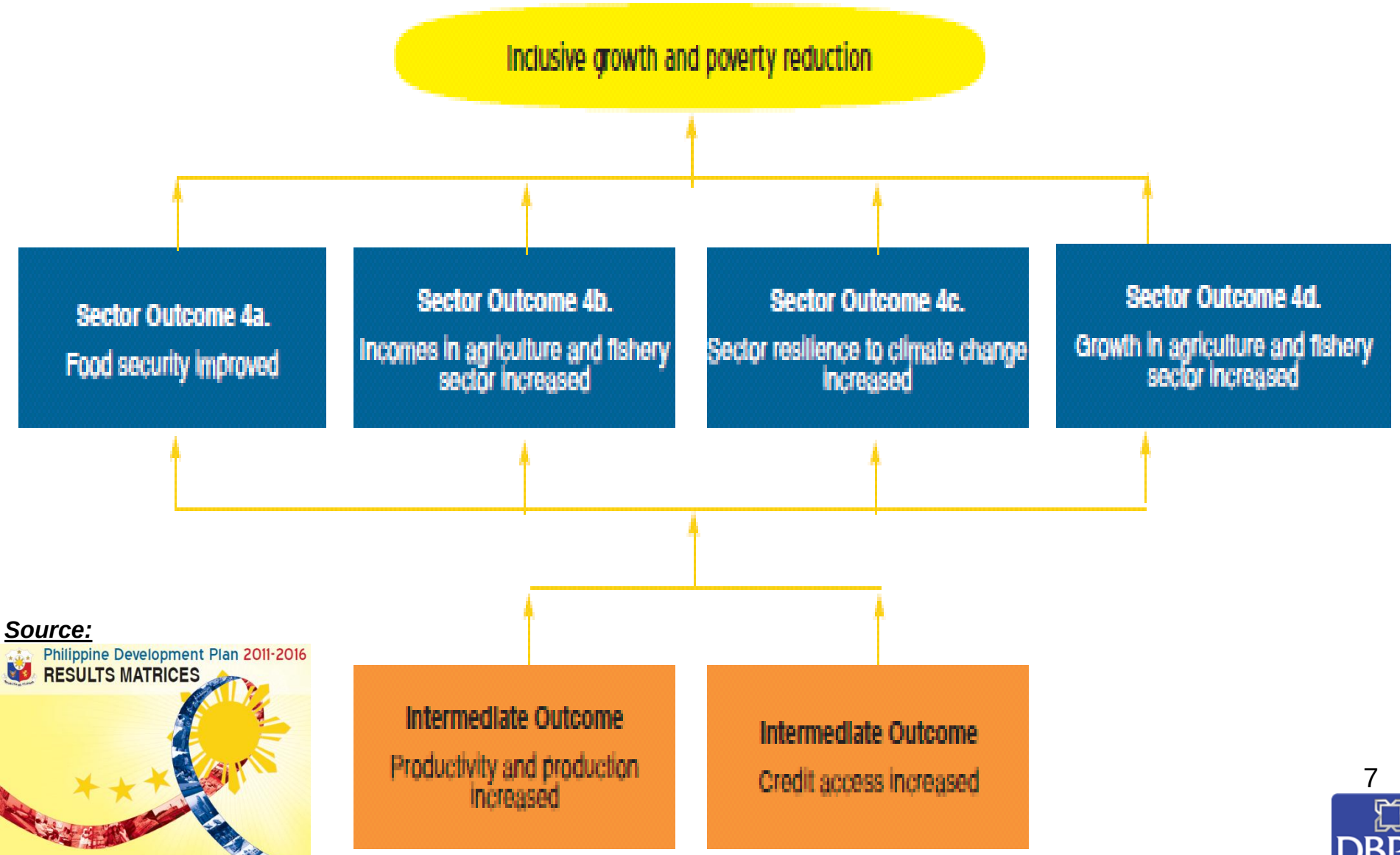




Social Enterprises

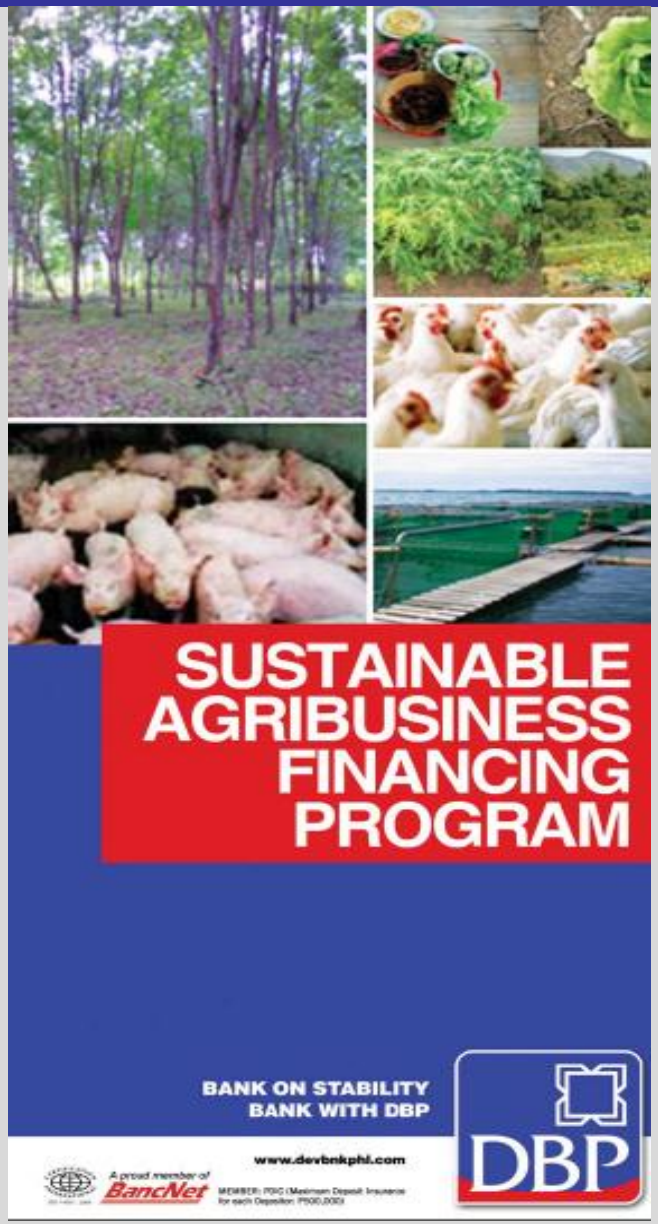


2011-2016 Philippine Development Plan
Chapter 4: Competitive and Sustainable Agriculture and Fisheries Sector



Source:

Sustainable Agribusiness Financing Program







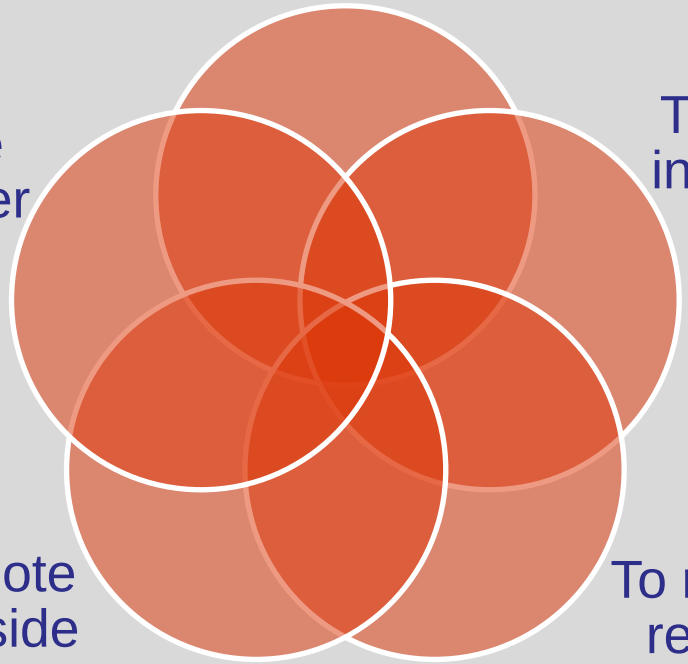






SAFP Objectives

To provide credit for agri-agra projects under RA No. 10000.



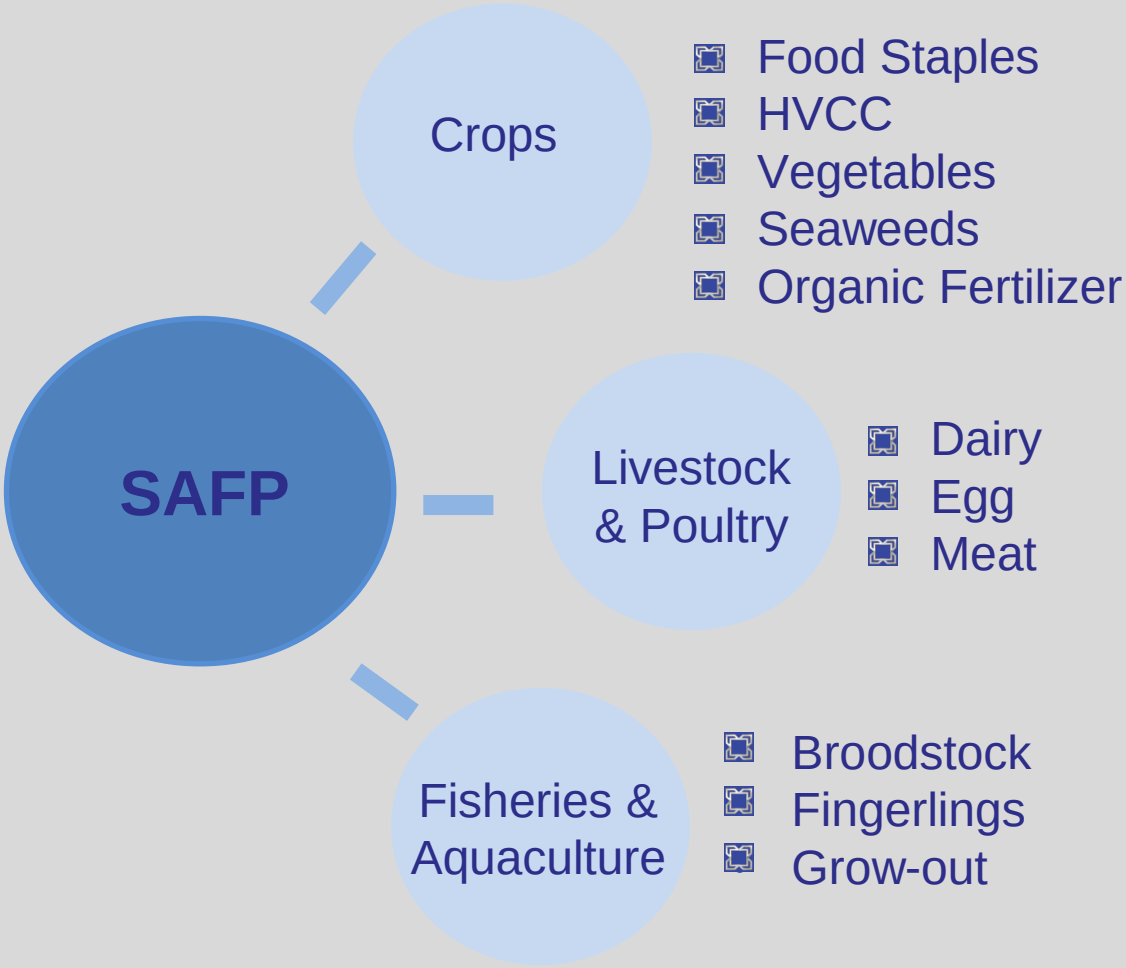
To help eradicate poverty and hunger

To provide sustainable income for farmers and fisherfolks

To promote countryside development

To respond to the food requirements of the country

SAFP Coverage (Divisions)



SAFP Coverage (Activities)

All agribusiness projects relevant to the development of Agriculture and Fishery: from germination/nursery to processing and marketing (**the whole value chain**):

- Germination/nursery/breeding/hatchery
- Growing/fingerlings
- Harvesting
- Post-harvest process
- Marketing/Trading
- Others included in the value chain

SAFP Coverage (Business)

WHOLE VALUE CHAIN :

Production to Harvesting	Working Capital; Land; Buildings & Improvements; Machinery & Equipment; Transportation Equipment; Stocks; Manufacturing & Distribution of Machinery, Equipment & Supplies
Post-Harvest Processing	Warehouses; Cold Storages; Mills; Processing Plants
Marketing	Trading / distribution of Agricultural products PO Financing

SAFP Eligible Borrowers

Wholesale Lending (Borrower-Conduit)

BANKS

Commercial Banks; Thrift Banks;
Rural Banks; Cooperative Banks; and
Microfinance Institutions

NON-BANKS

Non-Government Organizations (NGO); Irrigators' Associations (IA); SEC registered Financing Companies; Cooperatives; Farmer/Fisherfolk Associations; other types of assoc./org. duly registered with the corresponding government agencies

SAFP Eligible Borrowers

Wholesale Lending (Borrower-Conduit)

Requirements

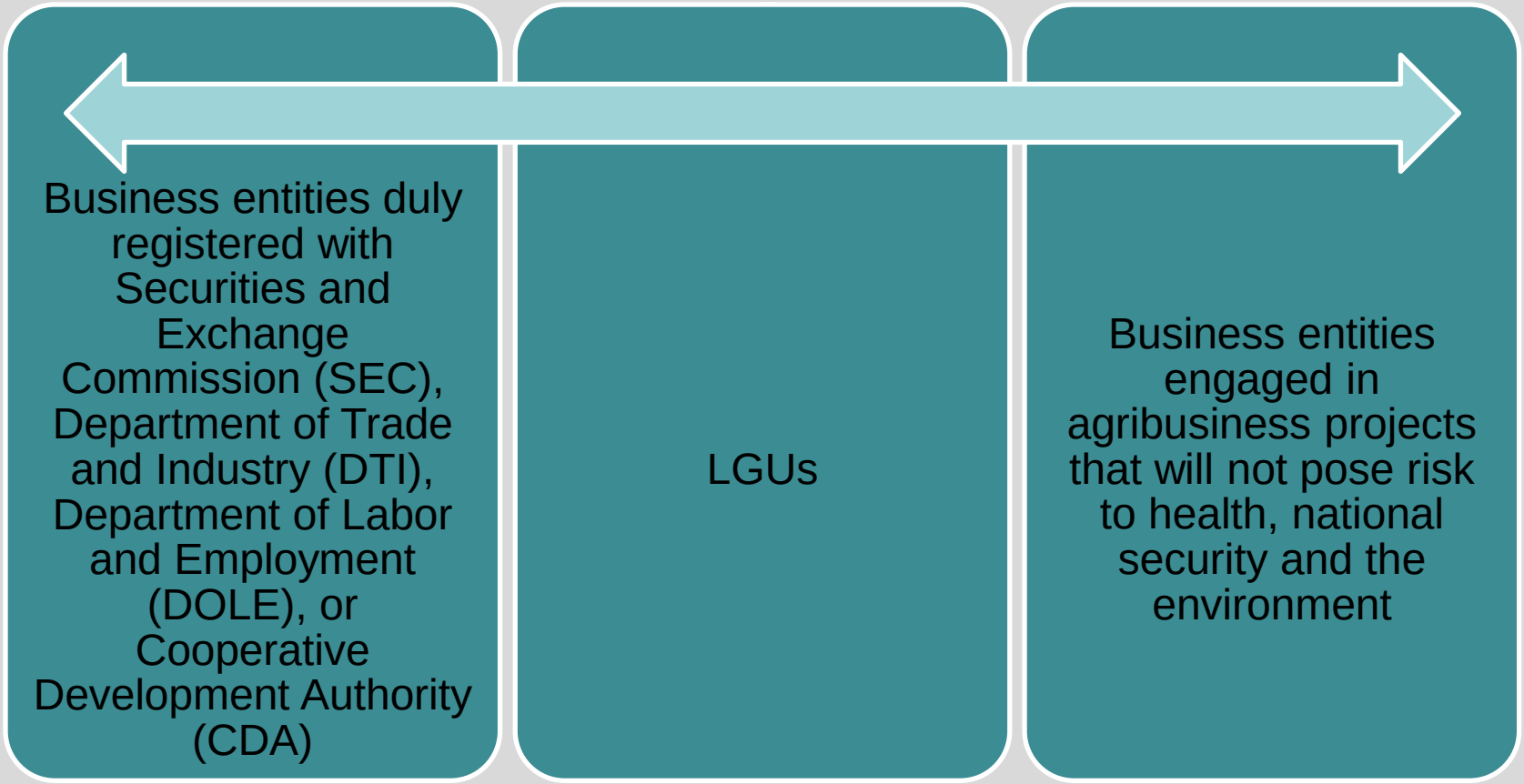
- At least one (1) year profitable operation

FOR NEWLY REGISTERED AGRI-BUSINESS:

- Well-experienced management team
- Proven technology
- Established market

SAFP Eligible Borrowers

Retail Lending



SAFP Loan Features

For Retail/Direct Loans

DBP to Borrower	
Amount of Loan	Loan amount shall be up to maximum of 90% of the TPC. For Domestic Packing Credit, up to 80% value of the PO.
Types of Facility	a. Term loan b. Credit Line c. Domestic Packing Credit vs. Irrevocable and Confirmed Purchase Order (PO)

SAFP Loan Features

For Retail/Direct Loans

	DBP to Borrower
Eligible Purposes	Loan shall be utilized to partially finance the cost of agribusiness projects including but not limited to the following: • Acquisition and development of land as project site • Building construction and/or investment if farm expansion • Acquisition and manufacturing/distribution of machinery, equipment and tools/supplies • Processing and distribution of agricultural products • Production and post harvest related investments/expenditures • Post-harvest facilities

SAFP Loan Features

For Retail/Direct Loans

	DBP to Borrower
Eligible Purposes	*Continuation . . .* • Acquisition of initial stocks • Working capital (short-term or permanent) • Trading • Purchase Order (PO) financing of agricultural products • Other purposes that contribute directly to increase productivity and maintenance of the agribusiness projects.

SAFP Loan Features

For Retail/Direct Loans

	DBP to Borrower
Interest Rate	Prevailing market rate (Bank Fund, ODA Fund, and other Local Funds).

SAFP Loan Features

For Retail/Direct Loans

DBP to Borrower	
Loan Repayment Term	**a. Term Loan -** repayment shall be based on the project cycle and projected cash flow as determined by DBP but not to exceed ten (10) years, inclusive of grace period. Progress and/or balloon payment on principal and interest may be allowed. **b. Credit Line –** based on the approved tenor/client's cash conversion cycle but not more than 360 days. **c. Domestic Packing Credit** – the term of the loan shall not exceed the expiry date of the PO.

SAFP Loan Features

For Retail/Direct Loans

DBP to Borrower	
Grace Period	a) Maximum of three (3) years for projects with short gestation period. b) Maximum of seven (7) years for projects with long gestation period

SAFP Loan Features

For Retail/Direct Loans

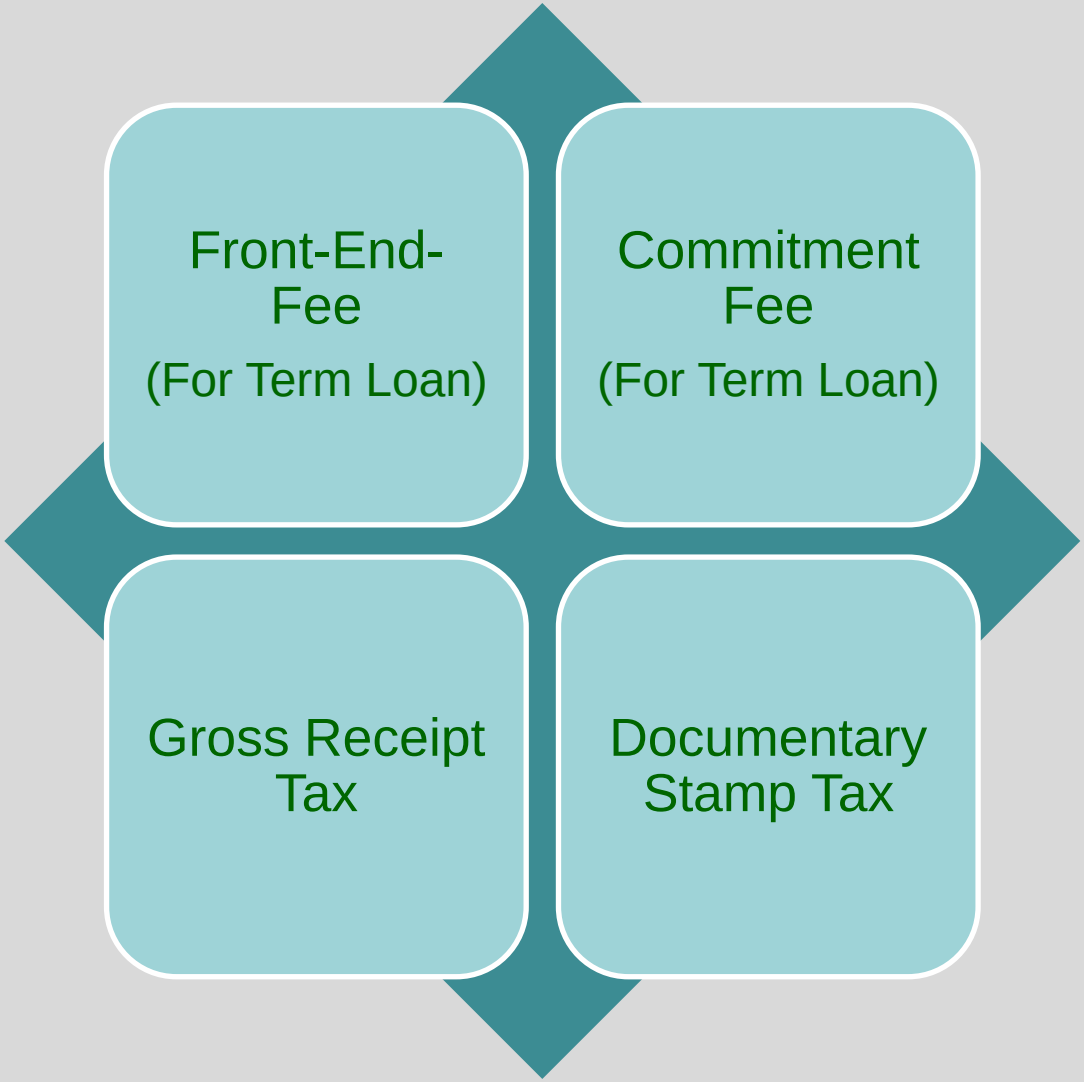
DBP to Borrower	
Collateral	The loan shall be secured by any or a combination of the following: a) Real estate mortgage. b) Chattel Mortgage on machinery and equipment, transportation equipment, or livestock. c) Surety/Guarantee and/or Crop Insurance acceptable to DBP. d) Assignment of irrevocable and confirmed Purchase Order (PO) or Letter of Credit (LC), provided that the term shall not exceed its expiry date. e) Assignment of supply contract, receivables, or project income. f) Financial Instruments, Mortgage Trust Indenture, JSS or Co-makership, and Hold-out on Deposits. g) For LGUs – Deed of Assignment of IRA h) Other security arrangements/agreements acceptable to DBP

SAFP Loan Features

For Retail/Direct Loans

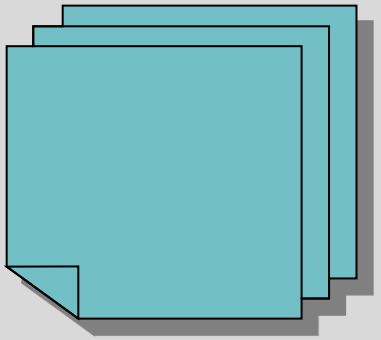
	DBP to Borrower
Equity	Borrower is required to put up a minimum equity of 10% of the TPC. For Domestic Packing Credit, a minimum of 20% value of the PO/LC shall be borrower's equity.

SAFP Fees and Taxes



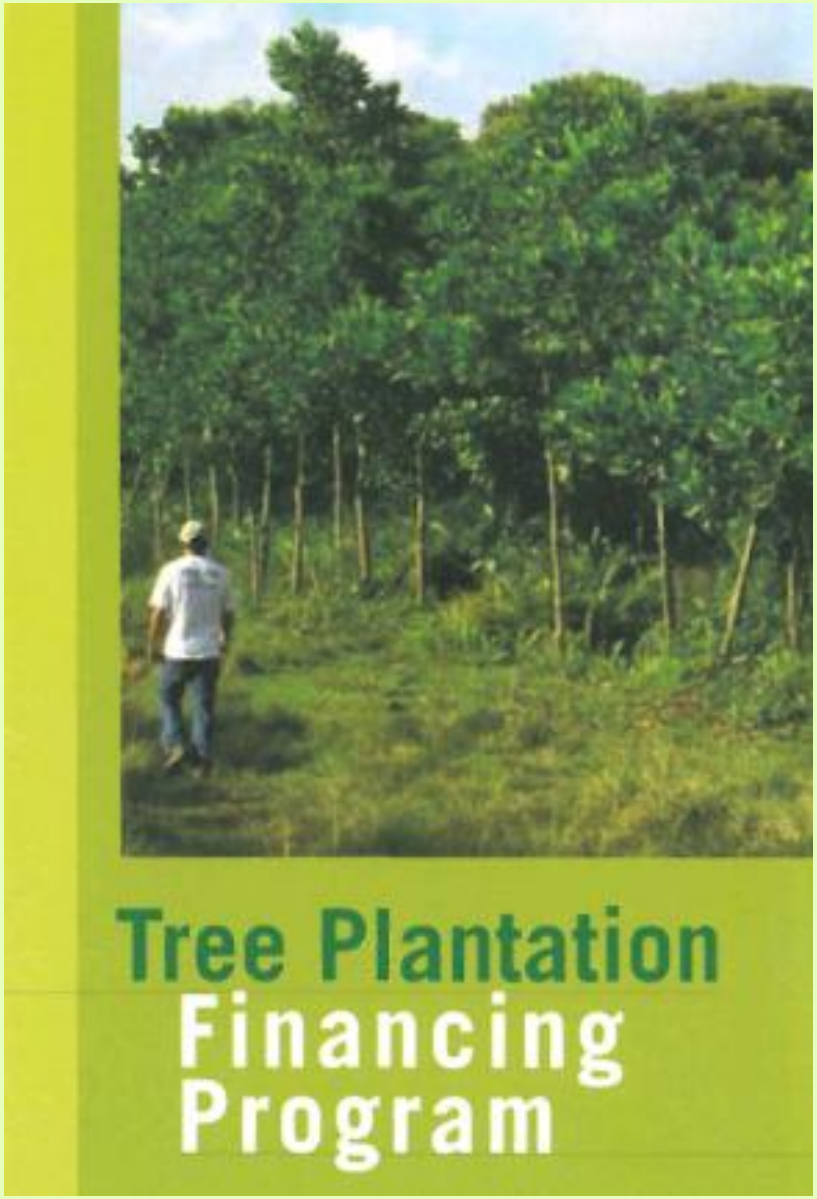
SAFP Basic Requirements





- Letter of intent
- Accomplished Application Form
- Business Registration Documents
- Duly accomplished Customer Record Form (DBP Form)
- Duly accomplished Confidential Information sheet (DBP Form)
- Project Brief/Business Plan
- Other Documents that may be necessary in loan evaluation

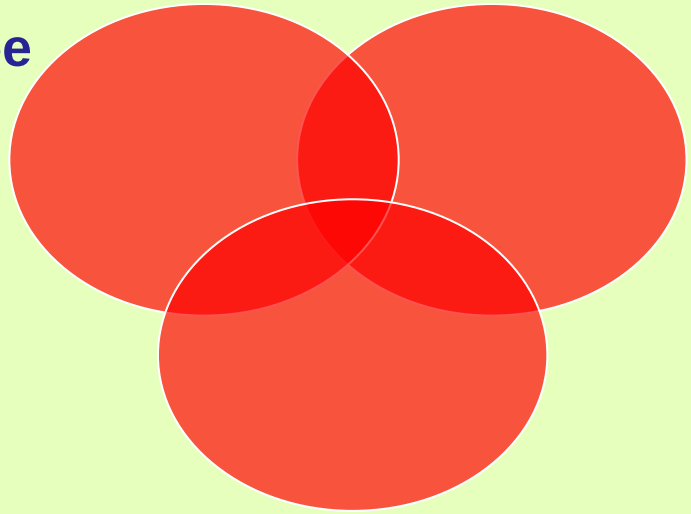
Tree Plantation Financing Program



TPFP Objectives

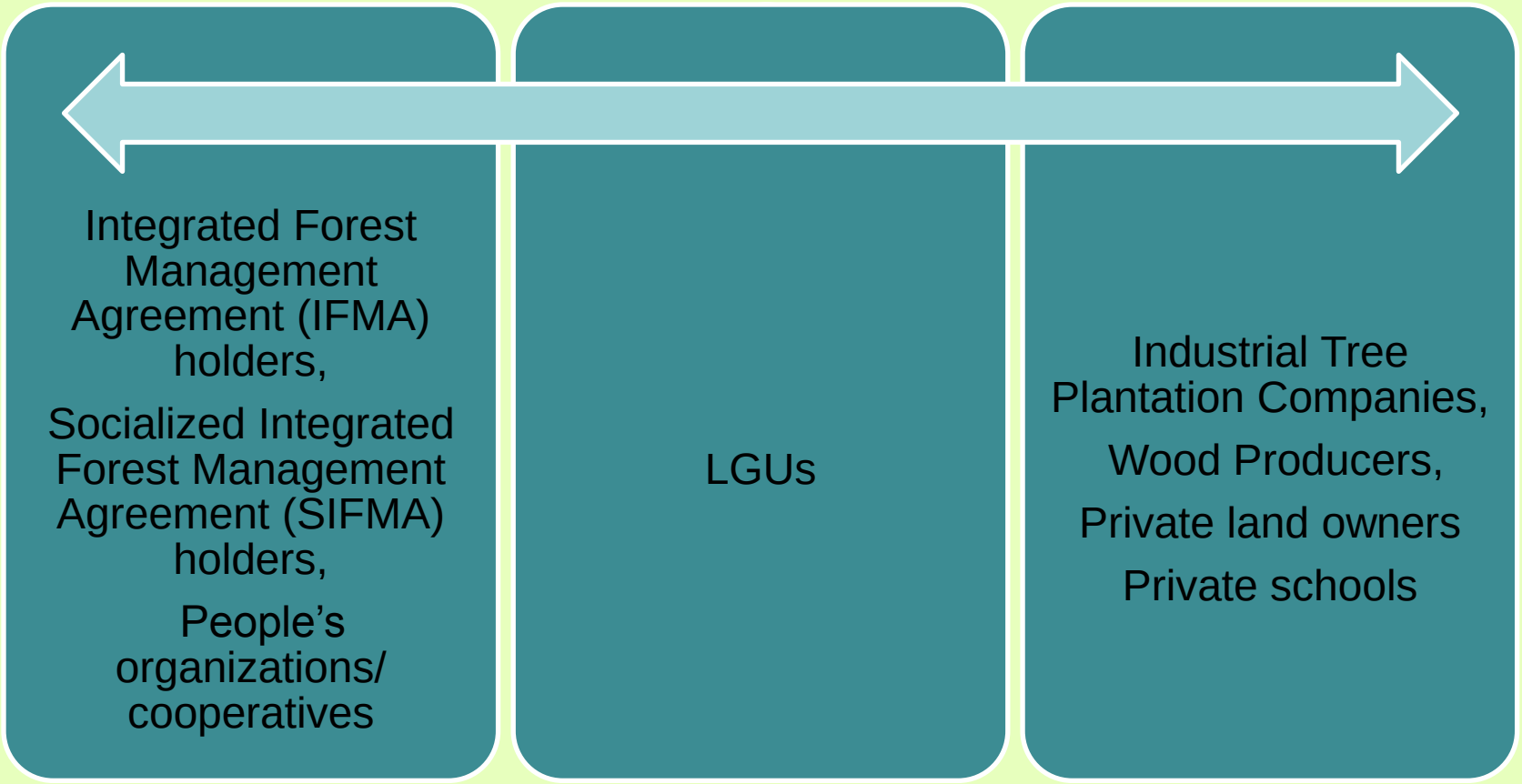
To promote the development & maintenance of tree plantations

To assist communities improve their socio-economic conditions



To arrest rapid deforestation and reduce susceptibility of communities to natural disasters

TPFP Eligible Borrowers



TPFP Loan Features

	DBP to Borrower
Eligible Purposes	Loan shall be utilized to partially finance the cost of tree plantation projects including but not limited to the following: 1. Expansion • Acquisition and planting of tree planting stocks • Site development, including road systems • Maintenance and operating expenses • Look out tower, bunkhouse, water system firelines, & other related expenses. 2. Existing plantation with at least 4-year old tree species • Maintenance and protection expenses – fertilization, pest control, weeding, strip brushing, and related expenditures.

TPFP Loan Features

	DBP to Borrower
Eligible Purposes	*Continuation . . .* 3. Harvesting of fruits or mature tree species (replanting needed) 4. Processing and post-harvest facilities including expenses for harvesting equipment, hauling, delivery, kiln treatment plant, fruit processing plant, and related expenditures.

TPFP Loan Features

	DBP to Borrower
Eligible Projects	The project should occupy at least five (5) hectares up to 500 hectares of open, contiguous area. These should support any of the following forest-based enterprises: • Furniture making and other wood based products from rattan, bamboo, timber trees and other forest species • Bio-fuels from energy producing plant and tree species • Latex and rubber production • Extraction and processing of essence from ilang-ilang and similar trees • Processing of leaves/other parts of herbals, pesticides, pharmaceuticals and other medical products

TPFP Loan Features

	DBP to Borrower
Eligible Projects	*Continuation . . .* • Food/Fruit processing • Production of planting stocks/nursery operations • Development of project sites as eco-tourism destination • Other related enterprises

TPFP Loan Features

DBP to Borrower	
Amount of Loan	Loan amount shall be up to maximum of 80% of the TPC. For LGU, up to 90% value of the TPC.
Interest Rate	Prevailing market rate

TPFP Loan Features

For Retail/Direct Loans

DBP to Borrower	
Loan Repayment Term	a. Maximum of 15 years inclusive of grace period on principal and interest repayment not exceeding 5 years. This may be accelerated with Certified Emissions Reduction (CER) revenues b. Monthly or quarterly or semi-annual amortizations depending on cash flow of the project, as may be shown by both medium term and major trees

TPFP Loan Features

For Retail/Direct Loans

DBP to Borrower	
Grace Period	Up to five (5) years on principal and interest depending on the gestation period of tree species and projected cash flow.

TPFP Loan Features

For Retail/Direct Loans

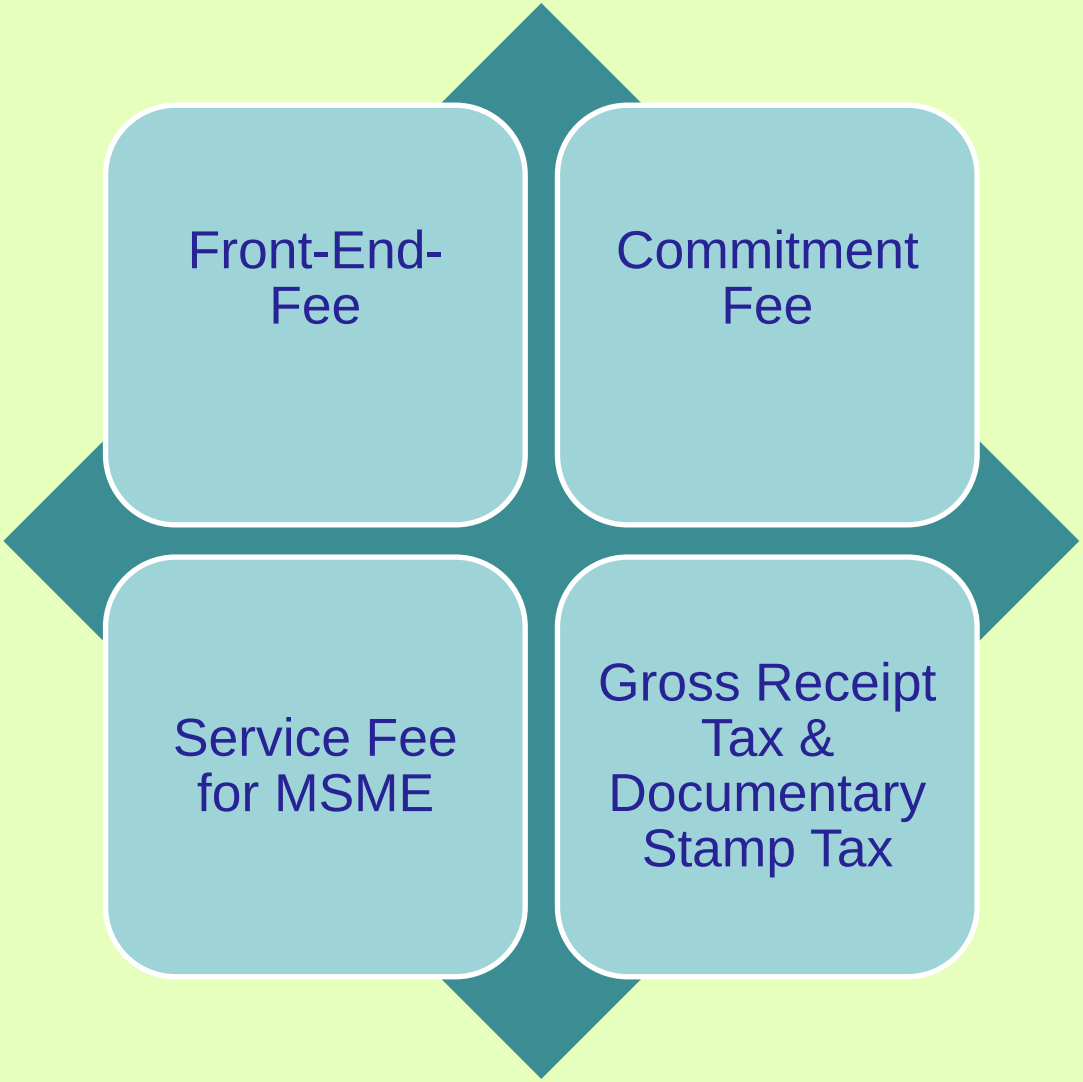
DBP to Borrower	
Collateral	The loan shall be secured by any or a combination of the following: a) Real estate mortgage other than plantation site. b) Chattel Mortgage c) Chattel mortgage of growing trees (under Sec. 7 of Act No. 1508) – harvestable or at least 4 years old trees that are surviving well d) Assignment of tenurial instrument (indicate lapse of tenure) e) Assignment of insurance of guarantee coverage – PCIC or other insurance companies acceptable to DBP Insurance Brokerage, Inc. f) Assignment of supply contract/receivables, project income, or Certified Emission Reduction (CER) credits g) JSS or co-makership or Hold out on deposit h) For LGUs – Deed of Assignment of IRA g) Other security arrangements/agreements acceptable to DBP

TPFP Loan Features

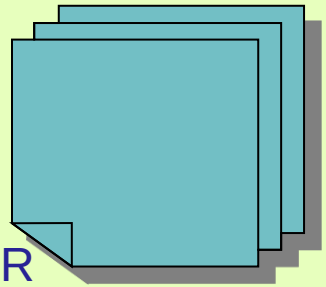
For Retail/Direct Loans

	DBP to Borrower
Equity	Borrower is required to put up a minimum equity of 20% of the TPC. For LGU, a minimum of 10% of the TPC.

TPFP Fees and Taxes



TPFP Basic Requirements



- Application Letter
- Project Development Plan / Planting and Maintenance Plan
- TCT or Title Lease Agreement or Tenure Instrument
- Status of Tenure Instrument
- Stumpage value of trees certified by an accredited 3rd party or DENR
- Regulatory Permits including permit to cut trees – for harvesting
- Board resolution to engage in the project; List of current key officers and their bio-data
- Audited Financial Statements and Income tax Returns for the past three (3) years, if applicable
- Other documents that may e necessary in the evaluation/ approval of the loan or required by the bank

<u>For LGU's</u>

- Sanggunian Resolution authorizing the Local Chief Executive to negotiate, obtain, enter into, sign and contract a loan agreement
- Approved budget for the current year
- Schedule of IRA for the last 2 years
- MB opinion under Section 123 of RA 7653 - The New Central Bank Act

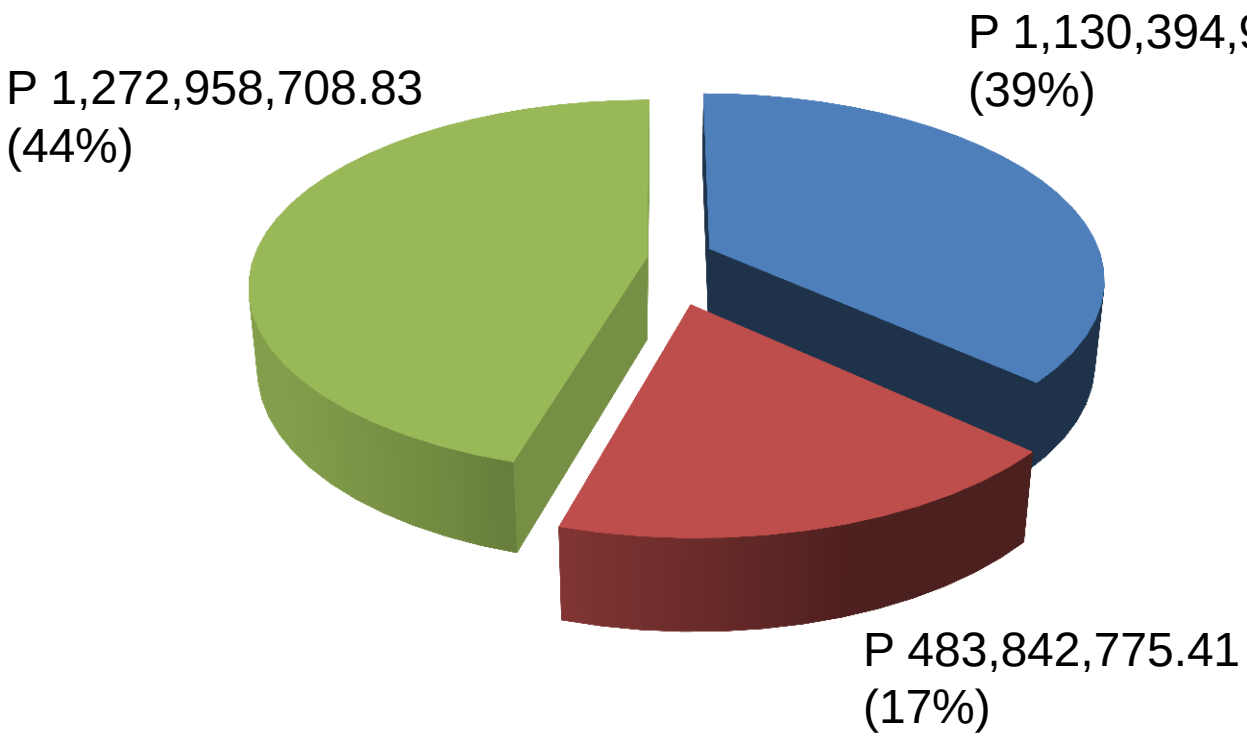
DBP Loan Portfolio

Loans Exposure by Economic Activity as of 30Jun2015 (in PhP millions):

Agriculture, Forestry and Fishing	2,887	2%
Mining and Quarrying	64	0%
Manufacturing	16,201	11%
Electricity, Gas, Steam and Air-conditioning Supply	25,403	17%
Water Supply, Sewerage, Waste Mgt and Remediation Activities	12,521	8%
Construction	1,457	1%
Wholesale and Retail, Repair of Motor Vehicles & Motorcycles	36,200	24%
Accomodation and Food Service Activities	595	1%
Transportation and Storage	9,170	6%
Information and Communication	208	0%
Financial and Insurance Activities	6,436	4%
Real Estate Activities	13,661	9%
Professional, Scientific and Technical Activities	1	0%
Administrative and Support Service Activities	401	1%
Public Administration and Defense; Compulsary Social Security	13,972	9%
Education	1,883	1%
Human Health and Social Work Activities	5,718	4%
Arts, Entertainment and Recreation	11	0%
Other Service Activities	21	0%
	146,810	**100%**

DBP Loan Portfolio

Loans Exposure for Agriculture, Forestry and Fishing (As of 30Jun2015)



Total Domestic = P 2,887,196,464.30

Projects under the DBP Sustainable Agribusiness Financing Program

Project : *Poultry*

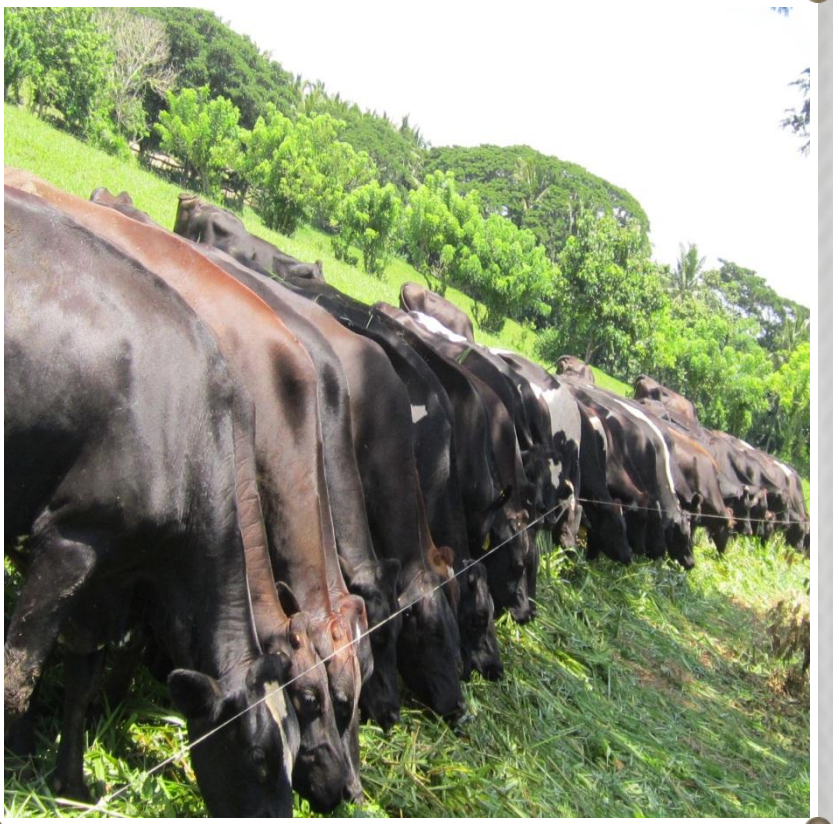
Location: *Guinobatan, Albay*

















Project : *Dairy*

Location: *Lipa & Sto. Tomas, Batangas*

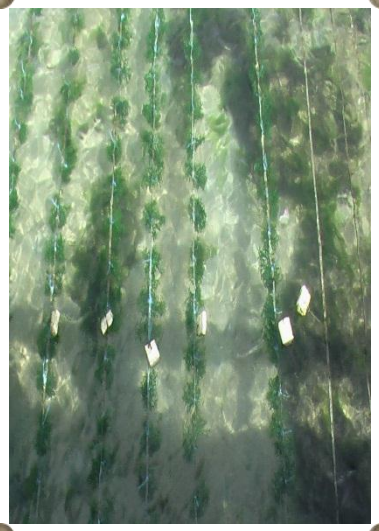


Project : *Milkfish production and processing*

Location: *Saranggani Bay*













Project : *Exporting Dried seaweed*

Location: *Sitangkai, Tawi-Tawi*

Thank you.

Mabuhay!